

ZERO-COST VS REGULAR TERM PLAN VS TROP

For a 30-year-old non-smoking male in Delhi who has chosen a life cover of ₹1 crore until the age of 60:

Insurer	Plan Name	Premium (in ₹) for zero-cost term* plan*	Premium (in ₹) for regular term plan^	Premium (in ₹) for TROP^
Bajaj Allianz	Bajaj Allianz Life eTouch	11,996	9,354	17,926
Canara HSBC	Young Term Plan - Life Secure	12,997	10,871	18,165
Max Life	Smart Secure Plus	13,918	11,553	22,812
HDFC Life	Click 2 Protect Super	15,863	13,499	34,685
ICICI Pru	iProtect Smart	16,287	12,686	28,360

EXIT CONDITIONS FOR ZERO-COST PLAN

You cannot apply for a special exit value plan anytime during the policy term

Insurer	Plan Name	Exit condition
ICICI Pru	iProtect Smart	One can exercise the option after 25 years, except the final five; assured has to be 60+
HDFC Life	Click 2 Protect Super	Upon finishing 30 years of the policy, excluding last five years
Max Life	Smart Secure Plus	One can exit after 25 years; assured has to be 65+
Bajaj Allianz	Bajaj Allianz Life eTouch	The option is available if the policy term is 40 years or more
Canara HSBC	Young Term Plan-Life Secure	One can exit at the age of 65. This benefit is not available for policy terms less than 40 years

NOTE ^THE REGULAR TERM PLAN AND TROP SPAN 30 YEARS, ALIGNING WITH RETIREMENT AGE *TO EXERCISE A SPECIAL EXIT OPTION POST-RETIREMENT (BETWEEN THE AGES OF 60 AND 65) ON A ZERO-COST TERM PLAN, YOU NEED TO BUY A POLICY FOR A TERM OF 40 YEARS; PREMIUM TAKEN ON JANUARY 2, 2024; IT MAY VARY AFTER DATE AND AS PER THE RESPECTIVE POLICY CONDITIONS **SOURCE** POLICYX & BT RESEARCH

In TROP plans, if the policyholder passes away, the nominee receives the sum assured. Alternatively, if the policyholder survives, they get back all the premiums paid minus goods and services tax (GST) at 18 per cent upon maturity. However, TROP plans typically have higher premiums, roughly 1.8-2 times the cost of regular plans.

The zero-cost plans provide the return of premium feature at a reduced cost. In such plans, policyholders have a one-time option

to exit when they have fulfilled their financial obligations, receiving a refund of all paid premiums minus GST. The nominee receives the death benefit in the event of the policyholder's premature death.

WHAT'S THE PLAY?

Many perceive zero as a symbol of emptiness or a lack of value. Some argue philosophically that zero may not even exist. But not the insurance industry. Here, strange as it sounds, the zero is linked to

associated costs.

So, "zero cost" is nothing but the ability to reclaim all premiums paid after you reach a predetermined point during the policy term or after reaching a certain age, most often at retirement.

Rakesh Goyal, Director of Probus Insurance Broker, says, "Insurers label certain plans as zero-cost term insurance due to the inclusion of a special exit value option or a return of premiums. This labelling often serves as a marketing strategy to attract potential buyers."

Rhishabh Garg, Head of term insurance at insurance aggregator platform Policybazaar.com, says the special exit option is not available at any time of the policyholder's choosing. "It comes with a condition of minimum policy duration and a particular window where you can exit, which is at an age when financial liabilities are generally over."



"Despite being called zero-cost, the premium for zero-cost term insurance surpasses that of a pure term plan significantly"

AMOL JOSHI
FOUNDER, PLAN RUPEE